

2025–2026 Competitive Events Guidelines

Insurance & Risk Management



Insurance & Risk Management challenges members to demonstrate their understanding of risk management principles and various types of insurance. Through an objective test, members explore how individuals and businesses identify, assess, and mitigate risks through insurance products and strategic planning.

Event Overview

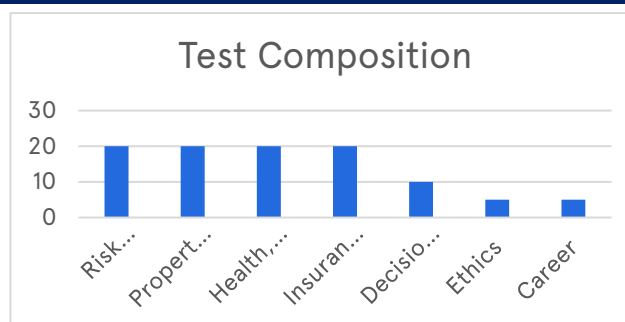
Division	High School
Event Type	Individual
Event Category	Objective Test
Event Elements	50-minute test, 100-multiple choice questions

Educational Alignments

Career Cluster Framework Connection	Financial Services
NACE Competency Alignment	Career & Self-Development, Critical Thinking, Professionalism

Knowledge Areas

- Risk Management
- Property & Liability Insurance
- Health, Disability, & Life Insurance
- Insurance Knowledge
- Decision Making
- Ethics
- Career



Test questions are based on the knowledge areas and objectives outlined for this event. Detailed objectives can be found in the study guide included in these guidelines.

District/Region/Section

Check with your District/Region/Section leadership for District/Region/Section-specific competition information and deadlines.

State

Check with your State Leader for state-specific competition information and deadlines.

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National

Required Competition Items

<u>Items Competitor Must Provide</u>	<u>Items FBLA Provides On-site</u>
- Sharpened pencil - Fully powered device for online testing - Conference-provided nametag Photo identification - Attire that meets the FBLA Dress Code	- One piece of scratch paper per competitor - Internet access - Test login information (link & password)

Important FBLA Documents

- Competitors should be familiar with the Competitive Events [Policy & Procedures Manual](#), [Honor Code](#), [Code of Conduct](#), and [Dress Code](#).

Eligibility Requirements

To participate in FBLA competitive events at the National Leadership Conference (NLC), the following criteria must be met:

- Membership Deadline:** FBLA national membership dues must be paid to the specific division by 11:59 p.m. Eastern Time on March 1 of the current school year.
- Repeat Competitors:** Members may only compete in an event at the NLC more than once if they have not previously placed in the top 10 of that event at the NLC. If a member places in the top 10 of an event at the NLC, they are no longer eligible to compete in that event at future NLCs, unless the event has been modified beyond a name change. Chapter events are exempt from this procedure.
- Conference Registration:** Members must be officially registered for the NLC and must pay the national conference registration fee to participate.
- Official Hotel Requirement:** To be eligible to compete, competitors must stay within the official FBLA housing block.
- State Entry Limits:** Each state may submit up to four entries per event.
- Event Participation Limits:** Each member may participate in:
 - One individual or team event, and
 - One chapter event (e.g., *Community Service Project* or *Local Chapter Annual Business Report*).
- Participation Requirement:** To be eligible for an award, each competitor must complete all components of the event at the National Leadership Conference.
- Identification at Check-in:** Competitors must present valid photo identification (physical or digital) that matches the name on their conference name badge. Acceptable forms include a driver's license, passport, state-issued ID, or school ID.
- Late Arrivals:** Competitors will be allowed to compete until such time that the results are finalized, or participation would impact the fairness and integrity of the event, as determined by Competitive Events staff. Five penalty points will be assessed for late arrivals in any competitive event.
- Event Schedule Notes:**
 - Some events may begin before the Opening Session.
 - All schedules are posted in local time for the NLC host city.
 - Schedule changes are not permitted.

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Event Administration

- **Test Duration:** 50 minutes
- **Format:** This event consists of an online objective test that is proctored and completed on-site at the National Leadership Conference (NLC).
- **Materials:** Reference or study materials are not permitted at the testing site.
- **Calculators:** Personal calculators are not allowed; an online calculator will be available within the testing platform.
- **Question Review:** Competitors may flag questions within the testing platform for review prior to the finalization of results at the NLC.

Scoring

- Each correct answer is worth one point.
- No points are deducted for incorrect answers.
- Tiebreakers are determined as follows: (1) The number of correct responses to 10 pre-selected tiebreaker questions will be compared. (2) If a tie remains, the number of correct responses to 20 pre-selected questions will be reviewed. (3) If a tie still remains, the competitor who completed the test in the shortest amount of time will be ranked higher.
- Results announced at the National Leadership Conference are considered official and will not be changed after the conclusion of the National Leadership Conference.

Penalty Points

- Competitors may be disqualified if they violate the Code of Conduct or the Honor Code.
- Five points are deducted if competitors do not follow the Dress Code or are late to the testing site.

Recognition

- The number of competitors will determine the number of winners. The maximum number of winners for each competitive event is 10.

Americans with Disabilities Act (ADA)

- FBLA complies with the Americans with Disabilities Act (ADA) by providing reasonable accommodations for competitors. Accommodation requests must be submitted through the conference registration system by the official registration deadline. All requests will be reviewed, and additional documentation may be required to determine eligibility and appropriate support.

Electronic Devices

- Unless approved as part of a documented accommodation, all cell phones, smartwatches, electronic devices, and headphones must be turned off and stored away before the competition begins. Visible devices during the event will be considered a violation of the FBLA Honor Code.

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Sample Preparation Resources

- Official sample test items can be found in [CONNECT](#). These sample items showcase the types of questions that may be asked on the test and familiarize competitors with the multiple-choice item options.

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Study Guide: Knowledge Areas and Objectives

A. Risk Management

1. Understand the risk management model (identify hazards, assess and prioritize risks, choose control measures, implement controls, and monitor and review results).
2. Understand the enterprise risk management model – ERM (state goal, identify risks, evaluate risks, treat risks, monitor and review results, and communicate results).
3. Adapt risk management models to meet organization's needs.
4. Understand how risk creates value.
5. Know the risk management process of creating a risk program.
6. Create valid risk forecasts.
7. Perform risk mapping and risk profiling.
8. Determine the cost of risk.
9. Apply risk control theories to create prevention, reduction, enablement, and enhancement tactics.
10. Create emergency response and business continuity plans.
11. Understand risk retention plans and risk financing transfers.
12. Understand how to prepare risk management reports.
13. Understand legal components of risk management industry.
14. Recommended insurance for the types of risk commonly faced by young adults.

B. Property and Liability Insurance

1. Differentiate between the main types of auto insurance coverage.
2. List facts that can increase or reduce auto insurance premiums.
3. Determine the legal minimum amounts of auto insurance coverage required in one's state of residence and recommended optimal amounts.
4. Calculate the amount paid on insurance claims after applying exclusions and deductibles.
5. Compare costs of auto insurance, given different deductibles and liability coverage limits.
6. Explain renter's insurance benefits.
7. What are worker's compensation benefits in states and how they are paid.

C. Health, Disability, and Life Insurance

1. Analyze conditions when people need health, disability, and life insurance.
2. Identify government programs, including social security, that provide financial assistance for income loss due to illness, disability, or premature death.
3. Compare sources of health and disability insurance.
4. Explain purpose of long-term care insurance.
5. Create a basic financial plan and explain both the benefits and how the plan will change over time.

D. Insurance Knowledge

1. Recognize basic policy types and basic policy features.
2. Determine how companies underwrite life insurance.
3. Define term insurance and permanent insurance.
4. Understand the basics of contract provisions and legal doctrines.
5. Understand claims management.

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6. Create portfolios and place insurance coverage.
 7. Be knowledgeable of global insurance markets.
 8. Understand the importance of pricing, risk aversion, and regulation.
 9. Negotiate, write, and renew insurance contracts.
 10. Define regulations that ensure compliance and demonstrate adherence to insurance industry regulations.
 11. Explain legal concepts pertinent to the insurance industry.
 12. Describe insurance products and their benefits.
 13. Discuss the nature of insurance fraud.
 14. Investigate suspected insurance fraud.
 15. Process a claim to fulfill company's legal obligation to client.
 16. Ensure regulatory compliance of EPA, OSHA, NFPA, ERISA, and COBRA laws and regulations.
 17. Discuss the insurance business cycle (agent, underwriter, claims, settlement, etc.)
- E. Decision Making
1. Recognize and analyze problems and make decisions based on global environments.
 2. Use benchmarking to compare data.
 3. Understand the techniques and processes for optimizing risk taking decisions within an organization (Enterprise Risk Management).
 4. Analyze the risk posed by potential clients in order to make insurance approval/denial decisions.
 5. Demonstrate ethical decision making by compliance with fiduciary duties of care (competency and due diligence).
- F. Ethics
1. Understand the process and importance of confidentiality agreements.
 2. Implement data security measures for confidential records.
 3. Recognize state and federal regulations regarding privacy violations and public disclosure.
- G. Careers
1. Identify insurance industry jobs.
 2. Recognize industry organizations.
 3. Describe essential knowledge and skills needed to be employed in the insurance industry.
 4. Describe roles and responsibilities in insurance (e.g., underwriter, insurance sales representative, actuary, claims personnel, and loss control specialist).
 5. Describe insurance licensing and certification programs.